Buying and selling for profit

Knowing when to buy and sell is the key to amassing wealth through property. As with the financial markets, prices in the property market are cyclical, going up or down depending on the state of the economy. Factors such as interest rates and inflation, GDP growth, employment, infrastructure, and immigration can all affect property prices. The trick to successful property investing is knowing how to assess the market and identify the right time to invest, the right type of investment, and the right time to sell.

The property cycle

Economics experts who have studied real estate trends over more than a century have concluded that property prices rise and fall in distinct patterns, triggered by economic and social events and trends. A property boom is followed by a slowdown and a slump. Eventually the housing market recovers and begins to boom again.

COMMERCIAL VS RESIDENTIAL

Commercial property

As an investment, commercial property can offer much higher rental returns than residential property and longer leases, but capital growth is less likely. It can be harder to obtain a mortgage on a commercial property, but investment can also be made via commercial property funds.

Residential property

Investing in residential property generally offers a more predictable return than commercial property, both on rentals and resale, although location is key as always. Residential property can be valued more easily than commercial property, which can help when selling.